2.8 Process or Steps Involved in Planning

A plan can help to avoid mistakes and to recognize hidden opportunities. Preparing a satisfactory plan is essential and the management should understand the planning process clearly what they want to achieve, and how and when to do it. Planning involves number of steps; the main steps of planning are as follows.



Figure 2.2 Process of planning

1. **Aware of business opportunities:** It is necessary to analyse the internal and external environment to know the trends in near future. Business activities are influenced by Government regulations, technological changes, availability of raw material, labour etc. The business men have to look for opportunities by observing the business environment.

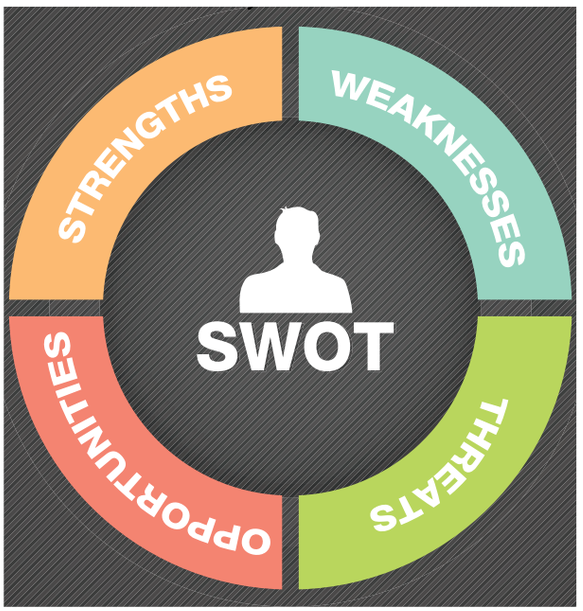


Figure 2.3 Tool to analyse the environment

2. **Setting Objectives:** plans are prepared with a view to achieve certain goals. so establishing the objectives is an important step in planning. The overall objective of the enterprise must be stated along with the specific objectives of individual department and divisions in the organisation. The objectives must be stated in measurable terms i.e., Percentage, Production, Sales, number of units etc.
3. **Considering planning premises:** Planning premises are the anticipated environment in which plans are expected to operate. As planning is for future, certain assumption about the future is uncertain. It is necessary to make assumption about the factors influencing internal environment and external environment. The factors which affect the plan must be identified and evaluated.
4. **Identifying the alternative course of action:** For doing a work there are always certain alternatives. The planners should study the entire

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